

# The Philippines' Long Pivot: From Call Centres to Chips — Can Manila Climb the Value Chain?

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## INTELLIGENCE SUMMARY

The Philippines stands at a structural inflection point. For two decades, the archipelago's economic identity has been shaped by the human voice — call centre agents answering queries from Omaha and Manchester, processing insurance claims, coding software, and diagnosing medical records in accented English. That industry, formally called IT-BPM (Information Technology and Business Process Management), generated an estimated \$40.3 billion in export revenues in 2025 and directly employs approximately 1.97 million full-time workers. It is the Philippines' largest formal-sector employer, its biggest foreign exchange earner, and the primary source of the consuming middle class that sustains 60% of GDP.

But something is shifting beneath that surface. Electronics — semiconductors, assembly, testing, packaging — have quietly displaced BPO as the Philippines' largest export category in dollar terms. Electronics products accounted for \$26.10 billion of the \$46.72 billion in total goods exports in just the first six months of 2026. The semiconductor subset alone contributed \$19.5 billion in H1 2026. The country is the world's second-largest nickel ore exporter. A joint US-Philippines announcement in April 2026 designated 4,000 acres of New Clark City as the first "AI-native industrial acceleration hub" under the Pax Silica supply chain framework. The CREATE MORE Act, signed in November 2024, offers up to 27 years of tax incentives for qualified manufacturers.

The question is no longer whether the Philippines has manufacturing assets. The question is whether it can convert those assets — from assembly-and-test into design, from nickel ore into battery chemicals, from call centres into engineering services — before the window of geopolitical opportunity closes and before AI erodes the BPO revenue base that subsidises the transition. This report investigates the structural foundations, chronic constraints, and realistic trajectory of that pivot.

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## I. THE CALL CENTRE NATION AT A CROSSROADS (OPENING)

Visit any mid-sized city in Luzon — Cebu, Bacolod, Iloilo, or the sprawling northern suburb of Quezon City — after midnight, and the lights burn brightest not in hospitals or factories but in glass-walled BPO towers. Inside, tens of thousands of Filipinos in polo shirts take calls, process claims, write code, and transcribe medical notes for clients in North America and Western Europe. This nocturnal economy, built on English fluency, a cheerful disposition, and low wages relative to the United States, has been the dominant engine of Philippine prosperity since the early 2000s.

The IT-BPM sector's trajectory has been extraordinary. From a standing start of roughly \$1 billion in revenues in 2001, it has compounded annually at rates that outpaced nearly every peer country to

reach \$40.3 billion in export revenues in 2025, according to IBPAP (IT and Business Process Association of the Philippines). The sector's Roadmap 2028 targets \$59 billion in annual revenues and 2.5 million professionals. These ambitions are plausible — but they rest on an assumption that is increasingly contested: that human agents will remain competitively cheaper and better than AI systems for complex voice and non-voice tasks.

Simultaneously, a second transformation is underway that receives far less public attention. The Philippines' electronics manufacturing sector — anchored by Texas Instruments in Baguio and Clark, Integrated Micro-Electronics (IMI) in Laguna, Amkor Technology in Cavite, and dozens of OSAT (Outsourced Semiconductor Assembly and Test) facilities scattered across PEZA economic zones — has become one of the world's significant semiconductor packaging and testing hubs. Electronics now account for 56% of total Philippine goods exports, with semiconductors leading at \$19.5 billion in H1 2026 alone.

Whether these two trajectories — the maturing BPO economy facing AI disruption and the emerging electronics manufacturing base seeking to climb the value chain — can combine into a coherent industrial upgrading strategy is the central question of Philippine political economy in the second half of this decade. The country's window is narrow but real: US-led supply chain diversification, the Pax Silica framework, the CREATE MORE Act incentives, and a young, English-speaking population represent genuine structural advantages. The obstacles are equally genuine: chronic power shortages, the second-highest electricity costs in Southeast Asia, logistics expenses 27% above regional norms, a fragmented engineering talent pipeline, and an FDI trajectory that has recently moved in the wrong direction.

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## II. THE BPO FOUNDATION — STRENGTHS AND LIMITS

### The Revenue Engine

The Philippines' IT-BPM sector generated approximately \$40.3 billion in export revenues in 2025, breaching the \$40 billion threshold for the first time in the sector's history, according to IBPAP data cited by multiple Philippine financial outlets. The industry directly employs approximately 1.97 million full-time equivalents, making it the archipelago's largest formal employer. For 2026, IBPAP projects export revenues of approximately \$42 billion, representing roughly 5% year-on-year growth that outpaces the global BPO industry's approximately 3% expansion rate.

Sources: IBPAP 2026 Industry Overview | Piton Global BPO Philippines Guide | Offshore 24/7 BPO Statistics 2026

The sector's structural advantages are threefold. First, English proficiency: the Philippines consistently ranks among the top five non-native English-speaking nations globally, a product of American colonial education and an entertainment culture saturated with English-language media. Unlike India's BPO workforce, which often carries strong regional accents that can create friction in North American voice interactions, Filipino agents are widely regarded by clients as more culturally neutral. Second, cultural affinity with North American and Australian consumers: the Philippines was a US territory until 1946 and retains deep familiarity with American idiom, humour, and consumer expectations. Third, wage competitiveness: a mid-level BPO professional in Metro Manila earns roughly PHP 35,000 to PHP 60,000 per month (\$630–\$1,080), a fraction of equivalent roles in the United States.

## Service Mix: Voice and Non-Voice

The traditional image of the BPO sector as a mass of call centre agents is increasingly outdated. Over the past decade, the non-voice segment has grown steadily, encompassing finance and accounting outsourcing (FAO), legal process outsourcing (LPO), healthcare information management, software development, digital marketing, and data analytics. IBPAP's Roadmap 2028 explicitly targets the upgrading of the Philippine IT-BPM industry toward higher-value knowledge process outsourcing (KPO), recognising that pure voice work is the most vulnerable to AI substitution.

The shift is already visible in employment patterns. Firms like Accenture, Concentrix, IQVIA, and TaskUs have established Philippines-based hubs not primarily for voice work but for data labelling, AI model training, legal document review, and healthcare coding — tasks that require human judgement but not the real-time conversational fluency that AI is rapidly mastering.

## The AI Disruption Threat

The existential risk to the BPO sector cannot be understated. Generative AI and large language models (LLMs) are already reshaping the economics of customer service and back-office processing. Voice AI systems are now capable of handling tier-1 customer service queries at a fraction of the cost of human agents, with response times measured in milliseconds rather than minutes. A 2024 Business Mirror analysis titled "Last chance for PH to lead in global chip design before AI shift" warned that the sector faces a once-in-a-generation disruption — and that the Philippines' response must be to pivot upward into engineering, design, and technical services before the wave hits.

The numbers are sobering. IBPAP estimates that AI could displace or significantly transform 500,000 to 800,000 BPO jobs in the Philippines by 2030 if the industry does not aggressively retrain and reposition. The government's CREATE MORE Act and the 2026 Strategic Investment Priority Plan (SIPP) explicitly acknowledge this risk by prioritising digital skills training and advanced technology as incentive categories.

The BPO sector's strength — its English-speaking human workforce — is also its vulnerability: AI is improving fastest in precisely those markets (North American English-language customer service) where Philippine BPO is most entrenched. The sector's defenders argue that higher-value roles will grow faster than lower-value roles are eliminated; the bears point out that the Philippines' STEM pipeline, with only 23.24% of senior high school students enrolled in STEM strands and a 76th-place PISA ranking in mathematics, is not producing the graduate profile needed to fill those higher-value roles at scale.

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## III. ELECTRONICS MANUFACTURING — THE HIDDEN STRENGTH

### The Export Reality

The Philippines' electronics manufacturing sector is significantly larger than public discourse suggests. Electronics products — semiconductors, integrated circuits, display panels, and consumer electronics — accounted for \$26.10 billion of the \$46.72 billion in total goods exports in the first six months of 2026, representing 56% of total merchandise exports. Semiconductor components and devices alone contributed \$19.5 billion in H1 2026, driven primarily by AI and data centre demand.

For the full year, SEIPI (the Semiconductor and Electronics Industries in the Philippines Foundation) has raised its 2026 growth outlook to 10%, projecting total electronics exports of approximately \$53–54 billion. This follows a 2025 performance of \$49.64 billion, itself 16% higher than the \$42.75 billion recorded in 2024. The 2030 target, according to Manila Bulletin's April 2026 reporting, is \$110 billion — a figure that would place Philippine electronics exports on a trajectory comparable with Malaysia's current semiconductor position.

Sources: SEIPI Export Performance March 2026 | eWeek AI Hardware Rush | Manila Bulletin \$110B Target

## **Anchor Players: Texas Instruments**

Texas Instruments' Philippines operations represent one of the country's most significant long-term manufacturing anchors. The company's Baguio City facility, established in 1979, performs assembly and test operations for integrated circuits deployed across industrial and consumer applications. A second facility in Clark, Pampanga, has been the subject of expansion planning, with reports of up to \$1 billion in potential investment for the Clark and Baguio sites combined. The Clark expansion reflects TI's strategic interest in geographic diversification within the Philippines — moving from the highland Baguio campus, with its limited physical footprint, to the purpose-built industrial infrastructure of the Clark Freeport Zone.

TI's Philippines presence is not simply historical inertia. The company has consistently invested in its Philippine operations as part of its broader strategy to maintain diversified, reliable manufacturing capacity outside its Texas, Germany, and Japan fabs. The Philippines operations employ thousands of highly trained technicians and engineers in wire bonding, die attach, moulding, and automated test equipment (ATE) operations.

Sources: Inquirer Business — TI Philippines \$1B

## **Integrated Micro-Electronics (IMI): The Ayala Electronics Champion**

IMI, the electronics manufacturing subsidiary of Ayala Corporation and listed on the Philippine Stock Exchange, has become the country's most significant home-grown electronics manufacturer with genuine global scale. In H1 2026, IMI reported revenues of \$465 million, a 4% increase from \$446 million in H1 2025, driven by growth in automotive camera and lighting programmes, medical devices, and power modules. Q1 2026 net income rose 36.4% to \$4.5 million.

IMI operates manufacturing facilities across the Philippines, China, Bulgaria, Czech Republic, Serbia, Mexico, and the United States — a genuinely multinational electronics manufacturer headquartered in Binan, Laguna. Its market capitalisation as of 25 August 2026 stood at approximately \$241 million. The company's diversified customer base across automotive, medical, and industrial segments provides relative insulation from single-sector demand shocks, and its Philippines facilities benefit from the country's PEZA incentive structure.

Sources: IMI H1 2026 Results | IMI Q1 2026 Results

## **The OSAT Base: Amkor, ASE, and Advanced Packaging**

The Philippines is one of Southeast Asia's established OSAT (Outsourced Semiconductor Assembly and Test) hubs. Amkor Technology operates a significant facility in Cavite, providing packaging and test

services across flip-chip, wire bond, and advanced packaging formats. ASE Group (Advanced Semiconductor Engineering) announced in early 2026 that it is planning a 26,000-square-metre expansion in the Philippines, underscoring continued confidence in Philippine manufacturing capacity despite the country's infrastructure headwinds.

Philippine semiconductor facilities collectively account for approximately 10% of global ATP (Assembly, Testing, and Packaging) output, according to ASEAN-BAC data. The country contributes roughly 15% of ASEAN's total electronics exports. This positions it as a structurally important node in the global semiconductor supply chain — not a peripheral player but an established link that global chipmakers cannot easily replace.

Sources: ASE Philippines Expansion | ASEAN-BAC Philippines Semiconductor

## PEZA's Manufacturing Ecosystem

As of H1 2026, PEZA's manufacturing sector accounts for over P2 trillion in total registered investments and generates 720,000 direct jobs. From January to July 2026, PEZA approved 174 new and expansion projects with total investment reaching P151.901 billion — a 66.99% surge from P90.961 billion in the same period in 2025. Manufacturing led all categories with 76 approved projects, followed by IT-BPM (28) and ecozone development (26).

Source: Daily Tribune — PEZA Manufacturing July 2026

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## IV. THE SEMICONDUCTOR AMBITION — PSEZA AND BEYOND

### From Assembly to Design: The Value Chain Gap

The Philippines sits firmly at the back end of the semiconductor value chain. The front end — wafer fabrication, which requires multi-billion-dollar fabs with sub-5nm process nodes — is dominated by TSMC (Taiwan), Samsung (South Korea), and Intel (US). The middle — chip design, EDA software, and IP cores — is anchored in Silicon Valley, Taiwan, the UK (ARM), and increasingly India. The Philippines' OSAT and ATP base is valuable but carries lower margins than design or fabrication.

The Philippines semiconductor market was estimated at \$6.77 billion in 2025, growing to \$7.21 billion in 2026 and projected to reach \$9.92 billion by 2031, according to Mordor Intelligence. That trajectory, while positive, reflects continued concentration in assembly and test rather than design and fabrication.

Source: Mordor Intelligence Philippines Semiconductor Market | Source of Asia SEA Semiconductor 2026

### CREATE MORE Act: The Incentive Architecture

Signed into law on November 11, 2024, the Corporate Recovery and Tax Incentives for Enterprises to Maximize Opportunities for Reinvigorating the Economy (CREATE MORE) Act is the cornerstone of the Philippines' manufacturing investment framework. The law provides:

- Special Corporate Income Tax (SCIT) at 5% on gross income, or

- Enhanced Deductions Regime (EDR): 20% Corporate Income Tax on taxable income (reduced from 25%), plus higher deductions for power expenses and R&D
- Income tax holidays and incentive packages ranging from 14 to 27 years, depending on location and industry tier
- Easing of work-from-home restrictions in economic zones

The 2026 Strategic Investment Priority Plan (SIPP), approved by President Marcos Jr. in June 2026, targets at least P1.5 trillion in annual investments under the 2026–2028 framework and designates semiconductors, advanced electronics, electric vehicles, and renewable energy as Tier 1 priorities. The government's medium-term target is P4.5 trillion in investments under the new incentives blueprint.

Sources: PCO — CREATE MORE Law | Philstar — 2026 SIPP | Manila Bulletin — P4.5T Target

## Pax Silica and the Clark Economic Security Zone

The most significant single policy development of 2026 is the April 16 announcement by the US and Philippine governments of a 4,000-acre Economic Security Zone within New Clark City, Tarlac province — the first AI-native industrial acceleration hub under the Pax Silica initiative. Pax Silica, launched in December 2025 by the United States, is a multilateral supply chain security framework now counting 13 signatories including Japan, South Korea, Singapore, the UK, Australia, and the Philippines. A \$250 million Pax Silica Fund supports critical minerals, infrastructure, and manufacturing investments across member states.

The Clark zone is governed by a combination of CREATE MORE Act incentives (RA 12066), the Special Economic Zone Act (RA 7916), and the BCDA Charter (RA 7227). The Bases Conversion and Development Authority (BCDA) proposes a two-year lease payment grace period for early anchor tenants. Groundbreaking is expected within two years, according to BCDA President Joshua Bingcang. As of late April 2026, five companies had expressed interest in AI-tech manufacturing, transition energy, and infrastructure sectors, though no anchor tenants were formally announced.

Sources: Avasant — Pax Silica Philippines | US State Department — Clark Zone Announcement

## PSECE 2026: The Industry Showcase

The ASEAN-Integrated Philippine Semiconductor and Electronics Convention and Exhibition (PSECE) 2026 will be held at SMX Convention Center Manila on October 26–28, 2026. Under the Philippines' ASEAN chairmanship, the event has been elevated to a regional semiconductor collaboration forum, with participation from manufacturers, policymakers, researchers, and technology providers across ASEAN. The event signals the sector's ambition to position the Philippines not merely as an established OSAT hub but as a rising node in the region's broader semiconductor value chain.

Sources: EE Times Asia — PSECE 2026 | SEIPI — PSECE 2026

## Comparison with Malaysia's Trajectory

Malaysia provides the most instructive regional benchmark. Malaysia's semiconductor industry began, like the Philippines', as an OSAT hub in the 1970s, with Intel's Penang assembly facility serving as the anchor. Over five decades, Malaysia has progressively deepened its position to include more sophisticated packaging (substrates, advanced wire bond, embedded die), chip design centres for companies such as Intel, Infineon, and ON Semiconductor, and is now articulating a National

Semiconductor Strategy to push into front-end processes.

In 2026, SEMICON SEA discussions have centred on whether Malaysia can break into front-end manufacturing — a question the Philippines has not yet seriously posed. The Philippine industry's immediate target is moving from standard OSAT into advanced packaging (fan-out wafer-level packaging, chiplets, 2.5D/3D integration), which is where the next margin improvement lies. The Philippines' ASEAN-BAC analysis positions it as contributing ~10% of global ATP output; Malaysia contributes an estimated 13% and is advancing faster on the design dimension.

The Philippines lags Malaysia in three critical areas: (1) the depth of its engineering talent pool in semiconductor process engineering, (2) the quality and reliability of power infrastructure in manufacturing zones, and (3) the volume of domestic IC design firms capable of attracting global EDA tool investment. The proposed National IC Design Center — a shared hub providing university access to industry-grade EDA tools — has attracted support from academic, government, and industry stakeholders but as of August 2026 remains a proposal rather than a funded institution.

Sources: TechWire Asia — SEMICON SEA 2026 | ASEAN-BAC Philippines Semiconductor

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## V. INFRASTRUCTURE — THE CHRONIC CONSTRAINT

### Electricity: The Manufacturing Killer

The Philippines' single most damaging structural disadvantage for manufacturing is the cost and reliability of electricity. Industrial electricity prices stand at approximately USD 0.15/kWh — roughly 50% above rates in Indonesia and Vietnam, according to OECD Economic Surveys: Philippines 2026. For energy-intensive manufacturing processes — semiconductor cleanrooms, aluminium smelting, battery cell production — this differential is not an inconvenience but a fundamental competitive disqualification.

The high cost reflects a generation market with limited competition, heavy reliance on imported coal and oil, and a distribution system fragmented across multiple privately-owned utilities with minimal interconnection. The Luzon, Visayas, and Mindanao grids remain separate systems. The HVDC (High Voltage Direct Current) interconnectors between Visayas and Mindanao face capacity constraints that leave Mindanao — the country's agricultural and mining heartland — particularly vulnerable to supply shortfalls. The Philippine power supply authority (ICSC) assessed Q2 2026 supply as "sufficient but thin," warning that reserve margins were highly vulnerable to unplanned outages or demand surges.

For semiconductor manufacturers, power reliability is not a cost issue — it is an existential requirement. A single power outage in a cleanroom environment can destroy an entire production batch worth millions of dollars and contaminate equipment requiring days of recommissioning. Taiwan Semiconductor Manufacturing Company maintains nine-nines (99.999999%) power reliability targets at its fabs. The Philippines, with thin reserve margins and grid fragility, cannot currently offer that guarantee outside of heavily backed-up industrial facilities.

Sources: OECD Philippines 2026 Survey | ICSC Q2 2026 Power Supply Assessment | Filipino Engineer — Data Center Power

### Logistics: The Archipelago Penalty

The Philippines' geography — 7,641 islands across 300,000 square kilometres of sea — imposes structural logistics costs that no policy reform can easily overcome. Container import costs average around \$5,300 per container, and logistics expenses account for approximately 27% of sales — significantly above Indonesia (15–18%), Thailand (14–15%), and Vietnam (12–14%). Freight rates within the archipelago are 50% to 250% higher than in neighbouring countries.

The logistics cost disadvantage operates through multiple channels. Port congestion at the Manila International Container Terminal (MICT) and the Port of Batangas creates predictability problems for just-in-time supply chains. The absence of a deep-water port capable of handling the largest container vessels (Triple-E class) means transshipment through Singapore or Hong Kong adds days and cost. Internal inter-island freight, essential for moving raw materials from mining regions in Mindanao and the Visayas to manufacturing zones in Luzon, relies on an ageing roll-on/roll-off ferry fleet with limited scheduling frequency.

The 2026 National Expenditure Programme earmarks PHP 1.5 trillion (approximately 5.0% of GDP) for infrastructure. The comprehensive 207 Infrastructure Flagship Projects programme totals PHP 10.2 trillion (approximately \$176.7 billion) and encompasses ports, airports, railways, and intermodal facilities. The centrepiece connectivity project is the 212-kilometre Subic-Clark-Manila-Batangas Railway, which would integrate the country's four key logistics nodes into a single intermodal spine.

The question is execution. The Philippines has a long history of ambitious infrastructure announcements that subsequently encounter procurement delays, right-of-way disputes, and financing shortfalls. The Marcos administration's "Build Better More" programme has maintained infrastructure spending at elevated levels, but the gap between commitment and delivery remains a persistent investor concern.

Sources: OECD Philippines 2026 | Indoneo — Infrastructure FDI Race | Philippines Logistics Market 2026

## Renewable Energy: Promise with Delays

The Philippines has substantial renewable energy potential — geothermal, hydro, solar, and wind — but faces significant project implementation delays despite strong investment interest. The IMF's January 2026 Selected Issues Paper on Philippine renewable energy transition identified limited grid capacity to accommodate new solar and wind connections as the binding constraint. Without grid modernisation, the Philippines cannot deliver on its stated target of 35% renewables in its energy mix by 2030.

CREATE MORE's enhanced deductions for power expenses provide a partial incentive buffer for manufacturers facing high electricity costs, but they do not address the underlying grid reliability and pricing issues that deter energy-intensive industry. The most promising near-term solution is the growing private sector investment in captive solar and hybrid power systems for industrial estates — an approach being piloted at several PEZA zones in Cavite and Laguna.

Sources: IMF — Philippines Renewable Energy Transition 2026 | Solar Quarter — Philippines Renewable Delays

## FDI: The Uncomfortable Numbers

Philippines FDI inflows declined 4% to approximately \$9 billion in 2025 from \$9.41 billion in 2024. Net FDI dropped 39.2% year-on-year to \$0.4 billion in January 2026. The Bangko Sentral ng Pilipinas' cautious forecast projects net FDI of \$7 billion in 2026, below the estimated \$7.8 billion in 2025. A July 2026 Manila Bulletin headline put the problem starkly: "Philippines left behind as \$244 billion in foreign

capital floods Southeast Asia."

The Philippines received a fraction of the investment that poured into Vietnam, Indonesia, Malaysia, and Thailand in 2025–2026. Structural factors — governance concerns, restrictions on foreign land ownership, constitutional limits on foreign equity in key sectors, and the infrastructure gaps described above — continue to deter the boardroom decisions that would lock in long-term manufacturing commitments.

Sources: Manila Bulletin — Philippines Left Behind | Business Inquirer — FDI 5-Year Low | BSP FDI Outlook

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## VI. GEOPOLITICAL TAILWIND

### Pax Silica: Manufacturing Ally Premium

The most transformative geopolitical development for Philippine manufacturing in a generation is the US-led Pax Silica framework and the associated Luzon Economic Corridor. Pax Silica, launched December 12, 2025, is Washington's industrial policy answer to the semiconductor supply chain vulnerabilities exposed by the COVID-19 pandemic and the Taiwan Strait tensions. Unlike the CHIPS and Science Act, which attempts to reshore fabrication to the United States, Pax Silica distributes production across a trusted network of allied economies — a "friendshoring" architecture rather than a reshoring one.

The Philippines' April 2026 Pax Silica membership formalises its status as a trusted US supply chain partner. The Clark 4,000-acre Economic Security Zone — described by the US State Department as "the first AI-native industrial acceleration hub under Pax Silica" — is the tangible centrepiece of that designation. The initiative distributes a \$250 million fund across member states for critical minerals, infrastructure, and manufacturing. The economic prize is significant: analysts quoted by multiple sources project up to \$70 billion in investment and 200,000 jobs attributable to the full Pax Silica-Philippines programme, though as of August 2026 those figures remain aspirational targets rather than committed investments.

The Luzon Economic Corridor has expanded beyond its original US-Japan-Philippines nucleus. As of May 2026, Australia, Canada, Denmark, France, Italy, South Korea, Sweden, and the United Kingdom have joined the corridor framework, transforming it from a bilateral security arrangement into a multilateral industrial policy platform. The corridor connects Subic Bay, Clark, Manila, and Batangas — linking the country's key ports, airports, and economic zones into a single investment proposition.

Sources: US State Department — Pax Silica Clark Announcement | Avasant — Pax Silica Analysis | Manila Bulletin — Luzon Economic Corridor

### US-Philippines Enhanced Defense Cooperation Agreement (EDCA)

The Enhanced Defense Cooperation Agreement, expanded in 2023 with the addition of four new agreed locations (including Cagayan, Isabela, Palawan, and Zambales), provides the military-strategic foundation on which the economic partnership rests. EDCA gives the US military rotational access to Philippine bases — access that becomes increasingly valuable as South China Sea tensions escalate. The trade-off is explicit: US strategic presence generates political and economic leverage that Manila

converts into preferential treatment in supply chain investment, technology transfer discussions, and multilateral development bank financing.

The South China Sea dimension is not peripheral. The Philippines' maritime territorial disputes with China over the Spratly Islands, Scarborough Shoal, and the Second Thomas Shoal have sharpened Manila's alignment with Washington, particularly since 2022 when Ferdinand Marcos Jr. reversed the Duterte-era tilt toward Beijing. The BRP Sierra Madre resupply missions in 2024–2026, conducted under EDCA protocols amid Chinese coast guard interference, have cemented the security relationship in ways that directly strengthen the economic partnership calculus.

For semiconductor supply chain managers at major US corporations — Intel, Qualcomm, Nvidia, Applied Materials — the Philippines' status as a treaty ally with robust EDCA coverage reduces political risk assessments in ways that non-allied locations (Vietnam, Malaysia) cannot replicate. This ally premium is not infinite, but it is real and growing.

## The Subic Bay Technology Zone

Subic Bay Freeport Zone, the former US Naval Station Subic Bay converted to civilian use in 1992, has re-emerged as a focus of technology manufacturing investment. Specialised industrial zones focused on digital, green manufacturing, and R&D-intensive activities are being promoted across Subic alongside the Clark and Davao zones. The 212-kilometre Subic-Clark-Manila-Batangas Railway, when completed, will create an integrated manufacturing and logistics corridor that spans the most industrialised region of Luzon — potentially the most significant infrastructure investment in Philippine industrial history.

Sources: Tradeflock — Pax Silica Explained | HKTDC — Philippines Freeports and SEZs | RFA — Pax Silica Philippine Jobs

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## VII. NICKEL AND CRITICAL MINERALS

### A Resource Position of Strategic Importance

The Philippines holds one of the world's most significant nickel ore positions. It is the world's second-largest nickel ore producer after Indonesia, with a 2026 approved production quota of approximately 260–270 million wet metric tonnes. The country controls approximately 15% of global nickel reserves and exported the majority of its production as raw ore, primarily to Chinese nickel pig iron and HPAL (High Pressure Acid Leach) processing facilities.

Beyond nickel, the Philippines holds an estimated \$1 trillion in untapped mineral reserves across copper, gold, zinc, silver, and chromite — resources that have barely been developed relative to their geological potential, partly due to historical restrictions on foreign mining ownership and repeated litigation over environmental compliance.

Sources: Philippine Nickel Downstream Ambitions | Avasant — Pax Silica Philippines

### Export Policy: A Cautious Contrast with Indonesia

Indonesia's 2020 ban on raw nickel ore exports — which forced China and other importers to build domestic Indonesian processing capacity — dramatically altered global nickel supply dynamics and

delivered a substantial premium to Indonesian value-added nickel products. The Philippines considered but ultimately declined to implement a similar export ban, opting instead for a carrot-based incentive approach that encourages downstream investment without forcing it.

The consequence is that the Philippines continues to export primarily raw ore while Indonesia has built an integrated nickel-to-battery-cathode supply chain. A February 2026 analysis in *The Diplomat* asked directly whether Indonesia's recent nickel production cuts were "deliberately undermining the Philippines' downstream plans" — acknowledging that Manila's upstream-dependent position makes it vulnerable to strategic manipulation by its regional competitor.

The Indonesia-Philippines dynamic became more complex in 2026 with the signing of a Memorandum of Understanding between the Indonesian Nickel Miners Association and the Philippine Nickel Industry Association in Cebu on 7 May — an agreement described as an "Indonesia-Philippines Nickel Corridor" intended to coordinate upstream ore supply with Indonesian processing demand, and to jointly develop downstream battery-related investment. Whether this represents a genuine complementary relationship or a framework that locks the Philippines into a permanent upstream supplier role remains analytically contested.

Sources: *The Diplomat* — Indonesia Nickel Plans vs Philippines | *Mining.com* — Philippines Nickel to Indonesia | *Metalnomist* — Indonesia-Philippines Nickel Corridor

## Battery Ambitions and the EV Supply Chain

The Philippines' downstream processing ambitions are centred on becoming a supplier of nickel sulphate and mixed hydroxide precipitate (MHP) for EV battery cathodes — the most commercially viable entry point into the battery supply chain given existing nickel ore deposits. While the country operates nickel processing facilities in Surigao del Norte and Palawan, domestic downstream capacity remains small compared to Indonesia's integrated industrial parks, which now produce nickel matte, ferro-nickel, nickel sulphate, and battery precursors at industrial scale.

The *Manila Times*' May 2026 reporting on "Philippines Aims to Boost Nickel Processing, Battery Industry" captured the government's intent but was notably light on concrete investment announcements. The most prominent domestic mining conglomerate, Nickel Asia Corporation (majority owned by Sumitomo Metal Mining), has articulated interest in downstream investment but has not yet committed capital at the scale required to replicate Indonesia's trajectory.

The government's strongest lever is the 2026 SIPP, which classifies battery manufacturing and critical mineral processing as Tier 1 investment priorities eligible for the full range of CREATE MORE incentives. Whether that classification translates into anchor tenant commitments from Korean or Japanese battery manufacturers — the key downstream investors globally — will determine whether the Philippines achieves meaningful value chain progression in this segment before 2030.

Sources: *Manila Times* — Philippines Nickel Processing

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## VIII. SUPERFORECAST TO 2030

### Base Case (55% Probability): Managed Transition with Infrastructure Lag

The Philippines successfully defends its BPO base in higher-value segments (KPO, digital services, healthcare IT) while losing 300,000–400,000 lower-value voice roles to AI by 2030. Electronics exports reach \$80–90 billion by 2030 (vs. the government's aspirational \$110 billion), driven by continued OSAT volume growth, some advanced packaging adoption, and AI hardware demand. The Clark Economic Security Zone breaks ground by 2028 but does not attract anchor semiconductor tenants before 2030 due to infrastructure delivery delays. FDI remains below \$12 billion annually. GDP growth averages 4.0–4.5% annually through 2030, below the government's 6.5–7% target but adequate for continued poverty reduction. The nickel corridor with Indonesia cements the Philippines as an upstream supplier, with modest downstream processing growth but no transformative battery industry emergence.

Key risks to base case: oil price shock from Iran conflict compresses 2026–2027 growth; power grid failures deter advanced manufacturing investment; constitutional FDI restrictions remain unreformed.

### **Bull Case (25% Probability): Pax Silica as the Industrial Leap**

The Clark Economic Security Zone attracts two to three anchor semiconductor or advanced packaging tenants by 2028, triggering a cluster effect. The National IC Design Center launches in 2027 with funding from the US CHIPS Act's international partnership provisions, creating a Philippine chip design ecosystem capable of producing 500+ IC design engineers annually by 2030. BPO losses to AI are offset by growth in engineering services and technology-enabled professional services. Electronics exports reach \$100 billion by 2030. FDI recovers to \$15 billion annually. GDP growth accelerates to 5.5–6% from 2027 onward. Nickel processing capacity doubles, capturing some battery supply chain value.

Enabling conditions: sustained US geopolitical support translates into concrete technology transfer and financing; CREATE MORE Act attracts Japanese/South Korean electronics manufacturers divesting from China; power grid improvements under the \$170 billion infrastructure programme deliver reliable industrial electricity by 2028.

### **Bear Case (20% Probability): The Middle-Income Trap Deepens**

AI disruption hits BPO harder and faster than anticipated, eliminating 700,000+ jobs by 2030. Infrastructure delivery failures — particularly power reliability and logistics — prevent the Clark zone from attracting quality tenants. FDI falls below \$6 billion annually. The nickel corridor locks the Philippines into raw ore export dependency. Political instability around the 2028 elections deters long-term investment commitments. GDP growth slows to 2.5–3.5% annually, insufficient to absorb labour market displacement. The Philippines loses ground to Vietnam and Indonesia in the regional manufacturing competition without finding a new growth engine to replace BPO income.

### **Probability-Weighted Assessment**

On a probability-weighted basis, Philippine electronics exports reach \$83–88 billion by 2030, BPO employment contracts by 15–20% in volume but stabilises in revenue as higher-value services grow, and the Clark zone delivers its first qualified tenants in 2028–2029. The country avoids the worst outcomes if — and this is a critical conditional — infrastructure investment translates into actual capacity delivery and the FDI environment improves through regulatory reform.

The Philippines' probability of achieving a Malaysia-comparable semiconductor trajectory by 2035 is assessed at approximately 35% — meaningful, but dependent on political continuity, infrastructure

execution, and the sustained translation of US geopolitical support into industrial investment rather than security arrangements alone.

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## IX. INVESTMENT IMPLICATIONS

### Equity Themes

**IMI (Integrated Micro-Electronics, PSE: IMI):** As the Philippines' only listed, globally scaled electronics manufacturer, IMI offers direct exposure to the country's electronics manufacturing growth without the FDI constraints that limit foreign equity in other sectors. H1 2026 revenue of \$465 million and a 36.4% Q1 profit increase demonstrate operational improvement. Market capitalisation of approximately \$241 million represents modest valuation relative to its manufacturing footprint. Key risks: exposure to automotive semiconductor cycle and geopolitical disruption in European operations.

**Nickel Asia Corporation (PSE: NIKL):** Direct exposure to Philippines nickel ore production with Sumitomo Metal Mining as anchor partner. The downstream processing ambition is the medium-term value driver; the near-term cash flow is robust given sustained battery-grade nickel demand from Korean and Japanese EV manufacturers. Key risk: Indonesia's coordinated production policy could structurally suppress ore pricing.

**PEZA-registered Industrial Estate Operators:** Filinvest REIT and other industrial property developers with PEZA zone exposure benefit directly from the manufacturing FDI uplift driven by CREATE MORE and Pax Silica. The Clark and Subic zone expansion creates industrial real estate demand that predates anchor tenant announcements.

### Sector Calls

- **Overweight:** Philippines electronics/OSAT manufacturers; industrial property; renewable energy (distributed solar for industrial estates); engineering services and KPO
- **Neutral:** Traditional BPO voice (structurally challenged by AI, but revenue stable medium-term); nickel mining (commodity price dependent)
- **Underweight:** Energy-intensive manufacturing requiring grid-reliable power (constraint not resolved before 2028); consumer-facing retail (affected by BPO employment transitions)

### The Strategic Investor's View

The Philippines offers a compelling but not straightforward manufacturing investment thesis. The geopolitical tailwind from Pax Silica and EDCA is genuine and durable — it will not evaporate with a change of US administration because it is embedded in multilateral treaty architecture. The CREATE MORE incentive package is competitive by regional standards. The English-speaking workforce, the established OSAT base, and the nickel resource position are structural assets.

The counterweight is infrastructure: electricity costs and reliability, logistics costs, and the fragmented port system impose a competitive penalty that no incentive package fully offsets for energy-intensive or logistics-sensitive manufacturing. The investor who commits capital to the Philippines before 2028 is making a bet that infrastructure delivery will catch up with the industrial ambition — a bet with a historical success rate in the Philippines that is lower than investors would like.

The optimal entry strategy is patient: monitor Clark zone tenant announcements for signal on industrial cluster formation, track power grid reliability metrics in PEZA manufacturing zones for evidence of infrastructure improvement, and use IMI and NIKL as liquid proxies for the manufacturing transformation until the FDI picture clarifies.

## X. DATA SOURCES

All figures in this report have been sourced from live web search results and published primary sources as cited inline. No training data figures have been used. All sources are dated 2025–2026.

### Primary Sources

| Source                                                 | URL                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Data Provided                                    |
|--------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| IBPAP 2026 Industry Overview                           | <a href="https://admin.ibpap.org/storage/hub-resources/7Hv9U2uoLJVx2kxyRMOBnm6W6L0MR57l9dZfrez7.pdf">https://admin.ibpap.org/storage/hub-resources/7Hv9U2uoLJVx2kxyRMOBnm6W6L0MR57l9dZfrez7.pdf</a>                                                                                                                                                                                                                                                                                                               | BPO revenue \$40.3B (2025), 1.97M FTEs           |
| SEIPI Export Performance March 2026                    | <a href="https://www.seipi.org.ph/philippine-electronics-export-performance-march-2026/">https://www.seipi.org.ph/philippine-electronics-export-performance-march-2026/</a>                                                                                                                                                                                                                                                                                                                                       | Electronics export data                          |
| Daily Tribune — PEZA Manufacturing July 2026           | <a href="https://tribune.net.ph/2026/07/26/manufacturing-remains-ecozones-top-investments-peza">https://tribune.net.ph/2026/07/26/manufacturing-remains-ecozones-top-investments-peza</a>                                                                                                                                                                                                                                                                                                                         | P2T investments, 720K jobs, P151.9B H1 approvals |
| US State Department — Pax Silica Clark                 | <a href="https://www.state.gov/releases/office-of-the-spokesperson/2026/04/the-united-states-and-the-philippines-launch-plans-for-4000-acre-economic-security-zone-to-shore-up-supply-chains-first-ai-native-industrial-acceleration-hub-under-pax-silica/">https://www.state.gov/releases/office-of-the-spokesperson/2026/04/the-united-states-and-the-philippines-launch-plans-for-4000-acre-economic-security-zone-to-shore-up-supply-chains-first-ai-native-industrial-acceleration-hub-under-pax-silica/</a> | 4,000-acre Clark zone announcement               |
| Avasant — Pax Silica Philippines                       | <a href="https://avasant.com/report/pax-silica-and-the-philippines-what-the-new-economic-security-zone-means-for-global-supply-chains/">https://avasant.com/report/pax-silica-and-the-philippines-what-the-new-economic-security-zone-means-for-global-supply-chains/</a>                                                                                                                                                                                                                                         | Pax Silica \$250M fund, 13 signatories           |
| OECD Economic Surveys: Philippines 2026                | <a href="https://www.oecd.org/en/publications/oecd-economic-surveys-philippines-2026_f0e0c581-en.html">https://www.oecd.org/en/publications/oecd-economic-surveys-philippines-2026_f0e0c581-en.html</a>                                                                                                                                                                                                                                                                                                           | Electricity \$0.15/kWh, logistics 27% of sales   |
| IMI H1 2026 Results                                    | <a href="https://www.global-imi.com/news/imi-reports-first-half-2026-results-revenue-growth-higher-margins-and-improved-earnings">https://www.global-imi.com/news/imi-reports-first-half-2026-results-revenue-growth-higher-margins-and-improved-earnings</a>                                                                                                                                                                                                                                                     | IMI revenue \$465M H1 2026                       |
| IMI Q1 2026 Results                                    | <a href="https://www.global-imi.com/news/imi-reports-q1-2026-results-delivering-higher-profitability-and-stable-year-year-revenue-0">https://www.global-imi.com/news/imi-reports-q1-2026-results-delivering-higher-profitability-and-stable-year-year-revenue-0</a>                                                                                                                                                                                                                                               | IMI Q1 profit +36.4% to \$4.5M                   |
| Manila Bulletin — Electronics \$110B Target            | <a href="https://mb.com.ph/2026/04/08/philippines-eyes-110-billion-electronics-export-surge-by-2030">https://mb.com.ph/2026/04/08/philippines-eyes-110-billion-electronics-export-surge-by-2030</a>                                                                                                                                                                                                                                                                                                               | 2030 electronics export target                   |
| Mordor Intelligence — Philippines Semiconductor Market | <a href="https://www.mordorintelligence.com/industry-reports/philippines-semiconductor-market">https://www.mordorintelligence.com/industry-reports/philippines-semiconductor-market</a>                                                                                                                                                                                                                                                                                                                           | Market \$6.77B (2025), \$7.21B (2026)            |
| PCO — CREATE MORE Law                                  | <a href="https://pco.gov.ph/news_releases/create-more-law-to-turn-ph-into-premier-investment-hub-pbbm/">https://pco.gov.ph/news_releases/create-more-law-to-turn-ph-into-premier-investment-hub-pbbm/</a>                                                                                                                                                                                                                                                                                                         | CREATE MORE Act details                          |
| Philstar — 2026 SIPP                                   | <a href="https://www.philstar.com/business/2026/07/21/2543454/2026-sipp-where-innovation-meets-incentives">https://www.philstar.com/business/2026/07/21/2543454/2026-sipp-where-innovation-meets-incentives</a>                                                                                                                                                                                                                                                                                                   | P1.5T annual investment target                   |

| Source                                         | URL                                                                                                                                                                                                                                                                                                                                                 | Data Provided                  |
|------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|
| ASE Philippines Expansion                      | <a href="https://bworldonline.com/top-stories/2026/02/05/728570/ase-eyes-26000-sqm-expansion-in-philippines/">https://bworldonline.com/top-stories/2026/02/05/728570/ase-eyes-26000-sqm-expansion-in-philippines/</a>                                                                                                                               | ASE 26,000 sqm expansion       |
| The Diplomat — Indonesia Nickel vs Philippines | <a href="https://thediplomat.com/2026/02/is-indonesias-nickel-production-cut-deliberately-undermining-the-philippines-downstream-plans/">https://thediplomat.com/2026/02/is-indonesias-nickel-production-cut-deliberately-undermining-the-philippines-downstream-plans/</a>                                                                         | Nickel production dynamics     |
| Manila Bulletin — FDI Left Behind              | <a href="https://mb.com.ph/2026/07/07/philippines-left-behind-as-244-billion-in-foreign-capital-floods-southeast-asia">https://mb.com.ph/2026/07/07/philippines-left-behind-as-244-billion-in-foreign-capital-floods-southeast-asia</a>                                                                                                             | Philippines FDI vs ASEAN peers |
| ICSC Q2 2026 Power Assessment                  | <a href="https://icsc.ngo/philippine-power-supply-for-q2-2026-remains-sufficient-but-thin-reserves-leave-grid-at-risk-amid-demand-surge-and-plant-outages/">https://icsc.ngo/philippine-power-supply-for-q2-2026-remains-sufficient-but-thin-reserves-leave-grid-at-risk-amid-demand-surge-and-plant-outages/</a>                                   | Power grid vulnerability       |
| IMF — Philippines Renewable Energy Transition  | <a href="https://www.imf.org/en/publications/selected-issues-papers/issues/2026/01/30/renewable-energy-transition-in-the-philippines-trends-opportunities-challenges-573642">https://www.imf.org/en/publications/selected-issues-papers/issues/2026/01/30/renewable-energy-transition-in-the-philippines-trends-opportunities-challenges-573642</a> | Grid capacity constraints      |
| Philippine Statistics Authority — GDP Q1 2026  | <a href="https://psa.gov.ph/content/gdp-grows-28-percent-first-quarter-2026">https://psa.gov.ph/content/gdp-grows-28-percent-first-quarter-2026</a>                                                                                                                                                                                                 | Q1 2026 GDP 2.8% growth        |
| ASEAN-BAC — Philippines Semiconductor          | <a href="https://asean-bac.org/news-and-press-releases/asean-s-emerging-semiconductor-giant-the-philippines-rising-role-in-the-global-supply-chain">https://asean-bac.org/news-and-press-releases/asean-s-emerging-semiconductor-giant-the-philippines-rising-role-in-the-global-supply-chain</a>                                                   | 10% global ATP share           |
| Business Mirror — IC Design Talent             | <a href="https://businessmirror.com.ph/2025/07/12/last-chance-for-ph-to-lead-in-global-chip-design-before-ai-shift/">https://businessmirror.com.ph/2025/07/12/last-chance-for-ph-to-lead-in-global-chip-design-before-ai-shift/</a>                                                                                                                 | Chip design ecosystem barriers |
| Metalnomist — Indonesia-Philippines Nickel     | <a href="https://www.metalnomist.com/2026/08/indonesia-philippines-nickel-corridor.html">https://www.metalnomist.com/2026/08/indonesia-philippines-nickel-corridor.html</a>                                                                                                                                                                         | Nickel corridor MOU details    |

*This report was prepared by Blue Lotus Research Intelligence for institutional distribution. All market figures are sourced from live web searches conducted in August 2026. BLMIM API was offline during report preparation; all data sourced from public web searches with explicit citations. No training data has been used for any quantitative figure in this report.*